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STAFF REPORT

Date: October 10, 2025

To: Policy Committee

From: Emily Courtnage, Director of Purchasing & Contracting

Subject: Updates to Public Contracting Rules

In 2010, Portland Public Schools developed and adopted a substantial and comprehensive revision to its Public Contracting Rules. These rules were updated in 2012, 2016, 2019, and 2024 to reflect legislative changes to the state Public Contracting Code (ORS Chapter 279A, 279B, and 279C) and revisions to the Attorney General's Model Public Contracting Rules ("Model Rules").

In late 2023, staff introduced to the Policy Committee an update to the District's 2019 Public Contracting Rules to reflect 2023 legislative changes to the Public Contracting Code as well as improve internal alignment, efficiency, and effectiveness. The Policy Committee forwarded most of the Rules updates and revisions to the full Board, which approved them in February 2024. However, the Policy Committee deferred consideration of a few of the proposed updates – those that touched on Board delegation or review - and recommended that these updates be brought back to the Committee at a later time. Those remaining proposed updates for the Policy Committee's consideration are detailed below.

I. Raise Board Approval Threshold from $150,000 to $250,000 for Revenue and Expenditure Contracts (PPS 45-0200(4)(b)(A) to Reflect Change om Buying Power and Align with Formal Procurement Thresholds

Staff recommends increasing the Board's delegation of authority to the Superintendent or designee to approve and sign contracts from those that exceed $150,000 to those that exceed $250,000 for several reasons:

First, this change will keep the Board contract approval threshold in alignment with the $250,000 formal procurement threshold for Goods, Services, and Personal Services adopted in 2024. The Board approval threshold is at the Board's sole discretion, but was chosen fifteen years ago to align with the formal procurement threshold for Goods, Services, and Personal Services for ease of administration.

Second, the Board contract approval threshold for expenditure contracts has not changed since 2010.[1]

Finally, staff conducted an informal survey of eleven other local public agencies and school districts and found that nearly all (1) align their Board approval thresholds to the Goods and Services formal procurement threshold of $250,000 (2) already have a higher Board approval threshold ($300,000 to $500,000), or (3) delegate unlimited contracting authority to executive leaders. The Board approval thresholds at several other large school districts in Oregon are as follows:

- **Beaverton SD:** Contracts above $250,000 must be approved by the Board
- **Salem-Keizer SD**: All contracting authority is delegated to Superintendent or designee
- **Hillsboro SD:** Contracts above $150,000 must be approved by the Board; looking to raise threshold to $250,000 by end of calendar year
- **North Clackamas SD:** Contracts above $250,000 must be approved by the Board

II. Remove Administratively Burdensome Mandate That Does Not Align with the Oregon Public Contracting Code or Attorney General's Model Rules: Amendment Reporting Requirement (PPS 47-0800(4), 48-0320(5)), 49-0910(5))

In 2016, the Board adopted amendment caps for Goods and Services, Architectural, Engineering, and Related Services, and Construction contracts that prohibited amendment to add scope or funds that would cause the total contract price to exceed 125% of the original contract price except in limited circumstances. In 2019, based on staff reports of numerous adverse and unintended results, such as delay of important construction or maintenance projects, the Board removed these amendment caps but substituted in a reporting requirement. This more limited reporting requirement applied only to contracts for which (a) the original contract price exceeded $500,000, (b) amendments caused the new contract price to exceed 125% of the original contract price, and (c) the amendments were not explicitly contemplated and allowed for in a formal solicitation process and resulting contract (as in the case, for example, of a Request for Proposals for a contract for one year with options to renew for up to five additional years). The Rule directs staff to report any such amendments to the Board after the fact.

Staff recommends removing the reporting requirement for several reasons: (1) The rule is not required by or in included in the Oregon Public Contracting Code or the Attorney General's Model Rules; (2) in the several years since the rule has been in place, staff has reported only a small handful of applicable amendments that fit the criteria; (3) the Bond Accountability Committee already closely monitors increases to our bond-funded contracts; and (4) the reporting requirement is informational only, after the amendment is signed, and thus has no effect on the contract scope or the District's contracting practices.

III. New or Revised Rules Delegating Authority to the Superintendent

a. Delegate Contracts Paid from Fee-Based Revenues (PPS 46-0200(4)(b)(G))

Staff recommends that the Board delegate contracting authority to the Superintendent or designee for any contracts paid entirely from fee-based revenues, such as student fees, assessed and collected for specific purposes. The Board has a lesser oversight responsibility over non-District funds that still require a District contract to administer.

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[1] Per the US Bureau of Labor Statistics' CPI Inflation Calculator (https://www.bls.gov/data/inflation_calculator.htm), the buying power of $150,000 in January 2010 is equivalent to $224,270 in August 2025.

b. Bring Offer of Judgment Rule (PPS 46-0200(6)) into Alignment with Board Policy on Liability Claims

In an existing rule (PPS 46-0200(4)(b)(F)), the Board has delegated authority to the Superintendent or designee to make an offer of judgment in the course of litigation when the Superintendent and general counsel determine that such offer is in the best interests of the District. However, PPS 46-0200(6) requires that the general counsel draft a privileged memo to the Board explaining the legal basis for the offer of judgment if such offer exceeds $25,000. Staff recommends raising the dollar threshold at which a privileged memo is required from $25,000 to $75,000. This revision will bring the rule in alignment with the revised Board Policy on Liability Claims, 8.60.021-P, which requires that settlement agreements of $75,000 or above be submitted to the Board for approval.

ATTACHMENTS

A. Redline of 2024 Public Contracting Rules